EXECUTIVE SUMMARY

1. Introduction

The Municipality of Sanchez Mira is a third class municipality located in the northwestern part of the province of Cagayan. It was formerly known as Malolokit, a *visita* of Pamplona but separated from its matrix and became an independent municipality by authority of a Royal Decree dated September 14, 1894. It consists of eighteen (18) barangays with 19,880 hectares or 198.8 square kilometers.

The audit covered the accounts and operations of the Municipality of Sanchez Mira for the year 2019 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2019, were P286,373,753.79, P72,891,483.71 and P213,482,270.08, respectively with an increase of 13.72%, 13.94% and 13.64%respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P124,793,423.65 and P103,320,086.59, which increased by 8.51% and 20.58% respectively from last year's figures.

Particulars	2019	2018	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	286,373,753.79	251,830,909.57	34,542,844.22	13.72%
Liabilities	72,891,483.71	63,972,780.13	8,918,703.58	13.94%
Govt. Equity	213,482,270.08	187,858,129.44	25,624,140.64	13.64%
Financial Performance				
Income	124,793,423.65	115,009,803.43	9,783,620.22	8.51%
Expense	103,320,086.59	85,682,734.01	17,637,352.58	20.58%
Appropriations, Allotments and Obligation				
Appropriations	144,835,818.59	124,808,064.02	20,027,754.57	16.05%
Allotments	144,835,818.59	124,780,939.02	20,054,879.57	16.07%
Obligations	117,606,861.82	87,298,504.25	30,308,357.57	34.72%

3. Independent Auditor's Report on the Financial Statements

We rendered a Modified Opinion on the fairness of the financial statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at 163,961,051.00 (net of depreciation) could not be ascertained due to the non-recognition of 100% of Local Road and Road Network System in the books of the Municipality. The audit team was not able to apply other alternative audit procedures in determining the correct amount of said accounts.

4. Summary of Audit Observations and Recommendations

a. The municipality was not able to comply with the transition provision on the phased recognition of the Local Road Networks in the books of accounts which requires 100% compliance at the end of year 2019 as stated under Item IX of COA Circular No. 2015-008 due to the absence of Local Road Inventory and Road Map.

We recommended that the Municipal Mayor direct the:

1. GSO to coordinate with the Municipal Engineer to prepare the road map of the municipality to facilitate the preparation of a proper inventory and reporting of the municipality's road network system;

2. Municipal Engineer to provide the Municipal Accountant and the GSO with the complete description and cost segregation of the road components for road projects; and thereafter,

3. Municipal Accountant to record amount of road networks equivalent to the required transition provision percentage every year starting 2016 up to 2019.

b. The Due to LGU account includes retention money and bid security totaling to P884,293.90 which have not been reclassified in the books of accounts as of year-end to conform with the Revised Chart of Accounts for Local Government Units prescribed under COA Circular No. 2015-09 dated December 1, 2015, resulting in understatement of the Guaranty/Security Deposits Payable account and overstatement of Due to LGU account.

We recommended management, thru the Accounting Office, to reclassify the retention money and bid security as Due to LGU accounts to Guaranty/Deposits Payable account, in their respective fund, to conform with

the Revised Local Government Chart of Accounts prescribed under COA Circular No. 2015-09 dated December 1, 2015, for fair presentation of financial statements.

5. Summary of Total Suspensions, Disallowances, and Charges

There are no issued and unsettled audit suspension and disallowance as at December 31, 2019.

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the ten (10) audit recommendations in the prior year's report, four (4) were fully implemented, five (5) were partially implemented and one (1) was not implemented as at year end.